

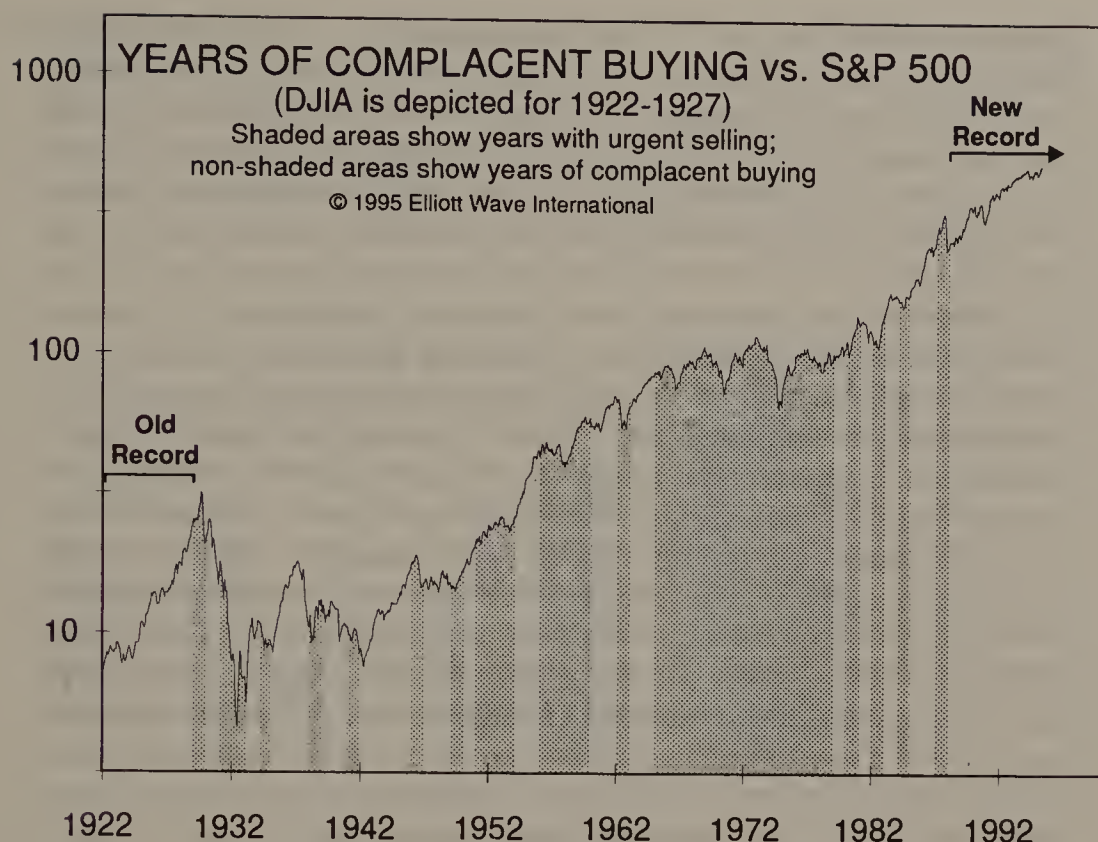


Figure 9-12

*lacked* urgent selling preceded the biggest bear markets. As revealed in Figure 9-12, the previous record duration lacking a single instance of urgent selling was November 1, 1922 to October 28, 1929, a period of seven years. It preceded and accompanied the start of the biggest bear market in the history of the country. As of today, *that record has been broken*. As Peter Eliades points out in an update of Alphier's study, the stock market has exhibited not a single instance of urgent selling since October 1987, which was seven years and six months ago. We may dub the lack of any urgent selling over a period of more than two years "complacent buying." While every investor, professional and public alike, behaves and speaks as if a persistently rising market is perfectly normal and will maintain for the indefinite future, it is in fact both (1) monstrously abnormal in the context of all market behavior, yet (2) perfectly normal for a market that is capping a multi-decade advance.

Another incredible thing about the current period of complacent buying is that it began from a level of *fair to high market*